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ECONOMIC GOVERNANCE AND EMU SCRUTINY UNIT



FINANCIAL STABILITY

MiCAR versus the GENIUS Act

Contrasting EU and US regulatory approaches to digital assets and stablecoins

Digital assets have evolved from a niche technological innovation into an increasingly important component of global financial markets. Within this ecosystem, stablecoins have emerged as a key link between traditional finance and blockchain-based systems, raising regulatory concerns related to financial stability, consumer protection and monetary sovereignty. In response, the European Union and the United States have adopted different regulatory approaches. The EU's Markets in Crypto-Assets Regulation (MiCAR) establishes a broad but residual framework for crypto-assets not already covered by existing EU financial legislation, combining rules for stablecoins with a wider regime for crypto-asset service providers. By contrast, the US GENIUS Act focuses specifically on payment stablecoins, establishing rules on issuance, reserve backing and supervision within the existing US regulatory structure. This briefing compares both frameworks, examining their approaches to classification, supervision, AML/CFT and regulatory coordination, while also considering selected implications for financial stability and monetary sovereignty. It argues that the main difference between the two models lies less in their treatment of stablecoins themselves than in how they organise the relationship between digital assets, existing financial law and supervisory structures. More generally, the comparison illustrates how digital asset regulation is progressively moving from experimentation towards integration into existing financial and regulatory systems.

This briefing builds on, but differs from, the study requested by the ECON committee [Cryptomercantilism vs. Monetary Sovereignty: Dealing with the Challenge of US Stablecoins for the EU](#) (June 2025), which analysed US stablecoins mainly from the perspective of monetary sovereignty, digital dollarisation and the then-draft GENIUS Act. The present briefing updates the comparison in light of the adopted GENIUS Act and focuses more specifically on the regulatory architecture of MiCAR and the GENIUS Act, including scope, classification, supervision, AML/CFT, systemic risk and regulatory coordination.



1. Introduction: digital assets as a regulatory and strategic challenge

The growing presence of digital assets in global financial markets is no longer a speculative trend but a structural transformation of how value is created, stored and transferred. What began as an experiment with decentralised currencies has gradually evolved into a broader ecosystem that includes exchanges, custody providers, tokenised assets and, increasingly, stablecoins designed to replicate the value of fiat currencies. As these instruments gain scale, their relevance extends beyond innovation, touching core questions of financial stability, regulatory oversight and monetary sovereignty¹. While digital assets are often presented as a technological innovation, a previous [EGOV briefing](#) suggested that **key regulatory questions are not primarily technological, but relate more to governance, control and the allocation of responsibility** within financial systems.

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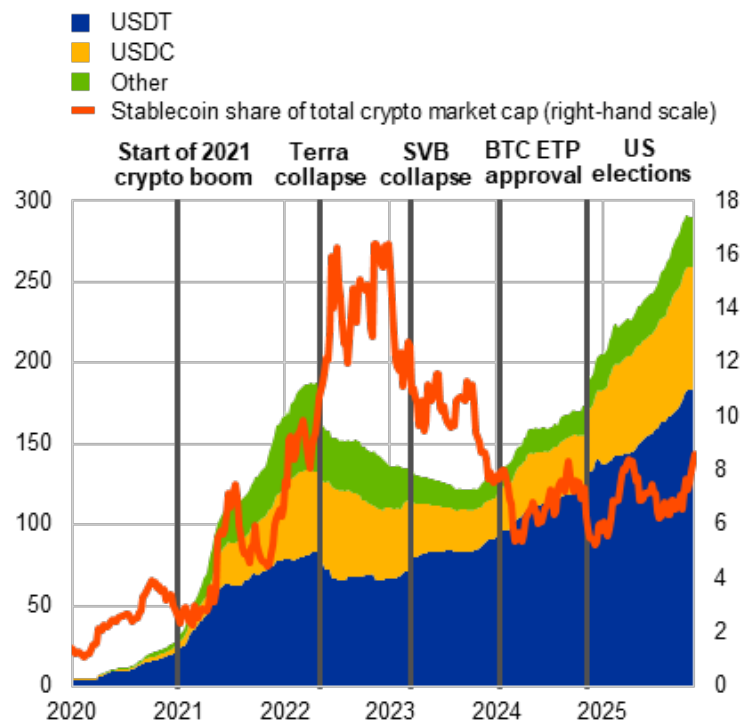
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Within this landscape, **stablecoins** occupy a particularly strategic position. By maintaining a relatively stable value², typically linked to a fiat currency such as the US dollar or the euro, they **enable users to move more easily between traditional finance and blockchain-based systems**. Their use has expanded rapidly in financial trades involving crypto assets, cross-border payments and decentralised finance (DeFi), where they often function as a primary medium of exchange. Indeed, as observed in recent [ECB analyses](#), stablecoins account for a substantial share of crypto-asset transaction volumes, reflecting their central role for liquidity and infrastructure of markets in crypto assets.

However, the same characteristics that make **stablecoins** attractive also generate regulatory challenges, as their international reach, technological complexity and potential scale **raise concerns regarding consumer protection, reserve adequacy and the risk of sudden loss of confidence**. Under more extreme scenarios, **large-scale stablecoin adoption could affect the transmission of monetary policy or even create parallel monetary systems**. Furthermore, **their integration into digital ecosystems increases exposure to operational risks, cyber threats and the potential misuse for money laundering and terrorist financing**, particularly where regulatory oversight remains incomplete or fragmented.

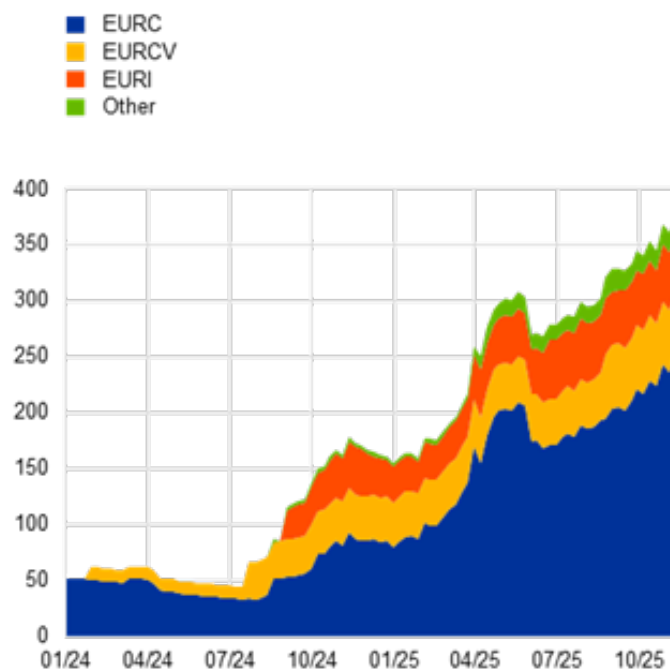
¹ See, for example, European Central Bank (ECB), [Stablecoins and the future of money](#), 8 May 2026; Bank for International Settlements, [The next-generation monetary and financial system](#), Annual Economic Report 2025; Ulrich Bindseil, [Regulatory Responses to the Financial Stability Implications of Stablecoins](#), 2026; and European Central Bank, [Stablecoins on the rise: still small in the euro area, but spillover risks loom](#), Financial Stability Review, November 2025.

² In this context, “relatively stable” refers to the objective of maintaining a stable value in relation to a reference asset, typically a fiat currency, although stablecoins may still experience temporary deviations from their peg due to market stress, liquidity constraints or loss of confidence.

Figure 1: Size of stablecoins in the crypto-asset ecosystem

Source: ECB Financial Stability Review, November 2025.

Notes: 1 Jan. 2020–16 Nov. 2025, weekly data; left-hand scale: USD billions, right-hand scale: percentages.

Figure 2: Market capitalisation of euro-denominated MiCAR-authorized stablecoins

Source: ECB Financial Stability Review, November 2025.

Notes: 1 Jan. 2024–17 Nov. 2025, weekly data, € millions.

In response, jurisdictions have begun to develop distinct regulatory models for digital assets and stablecoins. The European Union has adopted [MiCAR](#)³ as a broad but residual framework for crypto-assets not already covered by existing EU sectoral financial legislation. The United States has followed a more targeted path through the [GENIUS Act](#)⁴, focused on payment stablecoins, while general questions of digital asset market structure are being addressed more directly in separate initiatives such as the [CLARITY Act](#). These differences reflect distinct institutional and legal settings, but they should not be understood as a simple contrast between a fully unified EU regime and a fragmented US approach.

Against this background, **this briefing compares the EU and US approaches through the lens of MiCAR and the GENIUS Act.** It examines how each framework defines and regulates stablecoins, allocates supervisory powers and addresses questions related to market integrity, illicit finance and regulatory coordination. Beyond the legal comparison, the analysis also considers additional policy implications, including the impact on global competitiveness, innovation and the future role of digital currencies in the international monetary system. Finally, the comparison between MiCAR and the GENIUS Act offers insight into how two major jurisdictions are trying to reconcile innovation with regulatory control, and how their choices will not only shape domestic markets but also influence the emerging global standards for digital finance.

2. Overview of MiCAR and the GENIUS Act

The regulatory responses adopted by the European Union and the United States to address digital assets reflect two distinct approaches to financial innovation. While both jurisdictions recognise the growing relevance of stablecoins and the need to establish clearer rules, they differ significantly in terms of scope, design and institutional logic. Understanding these differences is essential to assess the far-reaching implications of each framework.

The EU's [MiCAR](#) represents one of the first broad attempts by a major jurisdiction to create a harmonised framework for crypto-assets not already covered by existing EU financial legislation. Rather than establishing a universal regime for all digital assets, MiCAR focuses primarily on two categories of stablecoins, asset-referenced tokens⁵ (ARTs) and e-money tokens⁶ (EMTs), while also creating a harmonised framework for crypto-asset service providers (CASPs)⁷. In this respect, MiCAR combines product-specific rules for certain crypto-assets with a wider regulatory regime governing market access, conduct and supervision of service providers. This approach reflects the EU's objective of reducing fragmentation across the single market and integrating crypto-asset activities into the current financial regulatory architecture, while preserving the boundaries of existing sectoral legislation under Article 2(4). The categorisation allows the framework to adapt to different business models while maintaining a coherent structure, and importantly, MiCAR explicitly excludes crypto-assets already covered by existing EU sectoral financial legislation, including financial instruments, deposits and certain insurance or pension products, among others, thereby preserving the integrity of the overall financial regulatory system. In addition to defining the regulatory perimeter, MiCAR establishes authorisation requirements, governance standards and transparency obligations for issuers and service providers and also creates a supervisory architecture that combines national authorities with EU-level coordination, with a [central role for the European Banking Authority](#) (EBA) in the oversight and coordination of significant stablecoins, while the [European Securities](#)

³ Regulation (EU) 2023/1114 of the European Parliament and of the Council of 31 May 2023 on markets in crypto-assets.

⁴ S.1582 – Guiding and Establishing National Innovation for U.S. Stablecoins Act of 2025, 119th Congress (2025–2026).

⁵ Defined as “a type of crypto-asset that is not an electronic money token and that purports to maintain a stable value by referencing another value or right or a combination thereof, including one or more official currencies” by Article 3(1)(6) of Regulation (EU) 2023/1114.

⁶ Defined as “a type of crypto-asset that purports to maintain a stable value by referencing the value of one official currency” by Article 3(1)(7) of Regulation (EU) 2023/1114.

⁷ For completeness, MiCAR also covers a residual category of crypto-assets that are neither asset-referenced tokens nor e-money tokens (Title II). Although much of the regulatory and supervisory discussion has focused on stablecoins, particularly ARTs and EMTs, the Regulation also establishes requirements for the public offering and admission to trading of other crypto-assets falling within its scope.

and Markets Authority (ESMA) contributes to broader supervisory convergence across crypto-asset markets. This reflects a precautionary approach, where risks are addressed ex ante through a combination of prudential safeguards and market conduct rules.

The **GENIUS Act** aims to establish clear rules for the issuance and operation of payment stablecoins, including eligible issuers, reserve backing, redemption rights and supervisory arrangements. Its objective is therefore more specific than a global market-structure reform, but it does not resolve the general classification of digital assets in the United States, a question addressed more directly by the CLARITY Act project. Nevertheless, the EU framework also leaves boundary issues, since crypto-assets falling within Article 2(4) MiCAR remain subject to existing sectoral regimes, including MiFID-based rules where relevant. The comparison is therefore between two different ways of drawing the regulatory perimeter around stablecoins, crypto-asset services and existing financial law, so it should be done with some caution, since although MiCAR and the GENIUS Act are directly comparable in relation to stablecoins, they are not full equivalents in terms of market structure. MiCAR combines rules for ARTs and EMTs with a broader framework for CASPs, whereas the GENIUS Act focuses on payment stablecoin issuance. An important point of comparison concerns the **relationship between MiCAR EMTs and the payment stablecoins regulated under the GENIUS Act**. Although the two concepts are not legally identical, **they are functionally very similar**. Both refer to digital instruments designed to maintain a stable value by reference to a single official currency and are intended primarily to be used as means of payment supported by reserve assets and redemption rights. In this sense, GENIUS payment stablecoins can be regarded as broadly comparable to EMTs. The main difference therefore lies less in the nature of the instrument itself than in the broader regulatory architecture in which it is embedded: **under MiCAR, EMTs form part of a wider framework that also covers ARTs, other crypto-assets within MiCAR's residual scope and CASPs, whereas the GENIUS Act focuses specifically on payment stablecoins without establishing an equivalent market-wide framework for digital assets**.

The main features of these two regulatory approaches are summarised in Table 1, which provides a comparative overview of their scope, institutional design and key policy choices. This overview highlights the structural differences between the EU's framework and the approach reflected in the GENIUS Act, setting the basis for the more detailed analysis developed in the following sections.

Table 1: MiCAR versus the GENIUS Act – Comparative overview

Dimension	MiCAR (European Union)	GENIUS Act (United States)
Regulatory approach	Horizontal framework for crypto-assets outside existing EU sectoral regimes	Targeted, sector-specific framework focused primarily on payment stablecoins
Regulatory philosophy	Preventive, aligned and ex ante regulation within the Single Market	Incremental, adaptive approach relying on existing legal frameworks and supervisory practices
Scope	Crypto-assets outside existing EU sectoral regimes (ARTs, EMTs and other crypto-assets under Title II); practical supervisory focus on stablecoins + CASPs	Payment stablecoin issuance; broader market-structure issues outside core scope
Definitions and classification	Broad, functional definition of crypto-assets with sub-categories (e.g. ARTs, EMTs)	Restricted definition focused on payment stablecoins, typically linked 1:1 to a fiat currency
Treatment of stablecoins	Detailed regulatory regime with enhanced requirements for ARTs and EMTs, including “significant” tokens	Specific focus on payment stablecoins with requirements on reserves, issuance and supervision
Relationship with securities law	Clear exclusion of financial instruments already covered by EU financial legislation	Explicit clarification that certain payment stablecoins are not treated as securities
Authorisation and licensing	Mandatory authorisation for issuers and CASPs under harmonised EU rules	Licensing through existing federal and/or state frameworks depending on issuer type
Supervisory architecture	Combination of NCAs and EU-level coordination; enhanced oversight for significant tokens	Fragmented supervisory landscape relying on existing banking and financial regulators
Governance and oversight	Strong emphasis on harmonisation, coordination and supervisory convergence across MS	Emphasis on institutional continuity and flexibility within a multi-agency system
AML/CFT framework	Fully integrated into EU AML framework; CASPs treated as obliged entities; includes travel rule	Based on existing AML laws (e.g. BSA); compliance and enforcement-driven approach
Consumer protection	Detailed disclosure, transparency and governance requirements for issuers and service providers	Safeguards for stablecoin issuance and redemption; existing frameworks
Financial stability approach	Precautionary approach with ex ante safeguards and specific regime for significant stablecoins	Prudential approach focused on reserve quality, liquidity and prevention of runs
Monetary policy considerations	Strong focus on protecting monetary sovereignty and the role of the euro; digital euro debate	Linked to maintaining and potentially extending the global role of the US dollar
Innovation and market impact	Legal certainty and an integrated environment, but with higher compliance requirements	Supports flexibility and market-driven innovation, but with greater legal uncertainty in some areas
Regulatory signalling	Signals stability, predictability and integration within a large single market	Signals openness to innovation, particularly in stablecoins, within existing institutional structures
Global dimension	Seeks internal alignment and potential external influence as a regulatory model	Influences global markets through dollar dominance and market-led adoption of stablecoins
Overall model	Integration into a harmonised EU framework	Targeted intervention within evolving framework

Source: EGOV elaboration.

3. Definitions and classification of digital assets

The way in which digital assets are defined and classified is not merely a technical issue, it is a fundamental policy choice that determines the scope of regulation, the allocation of supervisory responsibilities and the behaviour of market participants. In addition, differences in definitions between jurisdictions can also create incentives for regulatory arbitrage and affect the global development of digital finance.

Within the European Union, MiCAR adopts a broad and functional definition of crypto-assets. Rather than focusing on specific technologies or legal forms, it defines a crypto-asset as "a digital representation of a value or of a right that is able to be transferred and stored electronically using distributed ledger technology or similar technology"⁸. This general definition is then refined through a system of classification based on economic function, allowing the regulation to distinguish between different types of assets according to the risks they may pose. In particular, **MiCAR introduces two categories of stablecoins that are subject to enhanced regulatory requirements: ARTs and EMTs.** ARTs are designed to maintain a stable value by referencing a basket of assets, which may include currencies, commodities or other crypto-assets. EMTs, by contrast, aim to stabilise their value by referencing a single official currency and are therefore closer in economic terms to electronic money. This distinction is important because it allows regulators to apply different prudential and governance requirements depending on the nature and potential impact of each instrument.

At the same time, MiCAR explicitly excludes from its scope crypto-assets that qualify as financial instruments under existing EU financial legislation. This boundary is essential to avoid regulatory overlap and to preserve the coherence of the EU financial regulatory framework. In practice, it means that certain tokenised assets may fall under [MiFID](#)-based rules rather than MiCAR, depending on their characteristics. While this approach enhances legal clarity, it also requires careful interpretation, as the classification of a given asset may not always be straightforward.

The GENIUS Act, by contrast, adopts a more restricted definitional approach. Its primary focus is on payment stablecoins, which are defined in a way that emphasises their use as a means of payment and their linkage to a fiat currency. Typically, these instruments are expected to maintain a stable value on a one-to-one basis with a reference currency and to be backed by high-quality liquid reserves. This limited definition serves a specific regulatory purpose: by clearly identifying the category of assets that the Act seeks to regulate, it provides legal certainty for issuers and users of payment stablecoins. It also allows policymakers to concentrate on the most immediate risks associated with these instruments, particularly those related to redemption, reserve management and potential runs. **A notable feature of the US approach is the explicit effort to distinguish payment stablecoins from securities.** This reflects the broader regulatory context in the United States, where the classification of digital assets has been a source of legal uncertainty and regulatory debate. By clarifying that certain stablecoins do not fall within the scope of securities law, the GENIUS Act aims to reduce ambiguity and support market development. However, this clarity is limited to a specific subset of assets, leaving other categories subject to existing and sometimes overlapping regulatory frameworks.

The contrast between the two approaches highlights different regulatory priorities. **MiCAR seeks to provide a broad functional classification system that can accommodate a wide range of current and future crypto-assets, and this flexibility is achieved through a functional approach, but it comes at the price of greater complexity and the need for continuous supervisory interpretation. The GENIUS Act, on the other hand, prioritises simplicity and legal certainty for a narrowly defined category of assets, but does not aim to address the full diversity of the crypto-asset ecosystem.** From a policy perspective, these differences have significant implications. **A broad and flexible definition, such as that adopted by MiCAR, reduces the risk that new products fall outside the regulatory perimeter, but may increase compliance**

⁸ Article 3(1)(5) of Regulation (EU) 2023/1114.

costs and regulatory burden. A restricted definition, as in the GENIUS Act, facilitates implementation and provides immediate clarity, but may leave gaps as the market evolves and new types of digital assets emerge. Furthermore, the choice of definitions influences how risks are perceived and managed, as in the EU framework, stablecoins are embedded within a wider regulatory structure that considers their interaction with other crypto-assets and financial services, while in the US framework, payment stablecoins are treated as a distinct category, closely linked to payment systems and banking regulation. Importantly, the use of distributed ledger technologies (DLT) does not in itself imply decentralisation, since from a regulatory perspective, governance arrangements, decision-making structures and the allocation of control remain the key determinants of whether a system operates in a centralised, decentralised or hybrid manner.

4. Relationship with securities law and regulatory boundaries

One of the most complex and sensitive issues in the regulation of digital assets concerns their relationship with existing financial law, in particular securities regulation. The question of whether a given digital asset should be treated as a financial instrument has far-reaching implications, as it determines the applicable legal framework, the competent supervisory authority and the level of investor protection required. In this area, the European Union and the United States have taken notably different approaches, reflecting both legal tradition and institutional structure.

In the European Union, MiCAR is built on a clear and deliberate separation between crypto-assets and financial instruments already covered by existing legislation. Rather than eliminating legal uncertainty, the EU approach seeks to organise it within a more structured legal architecture. In practice, determining whether a given token falls within MiCAR or within the existing relevant EU rules for financial instruments⁹ may still require complex legal and economic analysis, particularly in borderline cases involving tokenised instruments, and as a result, market participants often continue to rely on specialised legal assessments to determine the applicable regime. This may increase legal and compliance costs and create a degree of uncertainty during product development, particularly for tokenised securities that combine features of traditional financial instruments with new technological arrangements. Although the practical impact remains difficult to quantify, the need for legal certainty at the boundary between MiCAR and existing financial legislation has become an increasingly important consideration in discussions on the future development of EU capital markets using DLT. The advantage of the EU model therefore lies less in the complete removal of uncertainty than in the existence of a more coherent institutional and legal framework within which these classification questions can be addressed. At the same time, the practical implementation of MiCAR has so far focused particularly on EMT issuance and CASP authorisations, while many other digital asset arrangements remain partly shaped by the interaction between MiCAR and existing sectoral legislation.

The US approach is shaped by a different regulatory landscape. **Unlike the EU, the United States does not have a single, unified framework for financial supervision, and responsibilities are distributed across several authorities, including those responsible for securities, commodities and banking regulation.** In practice, the classification of digital assets has been a source of ongoing debate and legal uncertainty¹⁰, as illustrated by recent market-structure initiatives such as the CLARITY Act, which seek to clarify the respective roles of the Securities and Exchange Commission (SEC) and the Commodity Futures Trading

⁹ The main EU framework governing financial instruments is set out in [Directive 2014/65/EU on markets in financial instruments](#) (MiFID II) and [Regulation \(EU\) No 600/2014](#) (MiFIR). Depending on their characteristics, certain tokenised assets may also fall within the scope of other sectoral legislation, including [Regulation \(EU\) 2017/1129](#) (Prospectus Regulation) and Directive 2014/65/EU-related implementing measures.

¹⁰ See, for example, U.S. Securities and Exchange Commission (SEC), [Framework for “Investment Contract” Analysis of Digital Assets](#), April 2019, superseded by [Application of the Federal Securities Laws to Certain Types of Crypto Assets and Certain Transactions Involving Crypto Assets](#) (Mar. 17, 2026); and Congressional Research Service, [SEC Issues Crypto Guidance as Congress Considers Market-Structure Legislation](#), April 2026.

Commission (CFTC)¹¹. Indeed, for several years, **US authorities have relied heavily on case-by-case analysis to determine whether a digital asset should be treated as a security**. This has often involved interpreting existing legal tests in the context of new technologies, leading to differing views and, in some cases, conflicting signals to market participants¹². As a result, regulatory clarity has been uneven, particularly for assets that do not fit neatly into traditional categories. This illustrates the significant challenge of applying existing legal categories to technologically novel arrangements without undermining the principle of technology neutrality. The GENIUS Act can be seen as a response to this uncertainty, at least in relation to payment stablecoins, and by **explicitly excluding these instruments from the scope of securities law**, it aims to provide a clear and predictable regulatory treatment. This is intended to facilitate their use as payment instruments and to encourage market development within a defined legal framework. However, this clarification is limited in scope because it does not resolve large questions about the classification of other types of digital assets, which remain subject to existing regulatory interpretations, at least until the adoption of an organic crypto law such as the proposed Clarity Act.

From a comparative perspective, both systems face a similar boundary problem: determining when a digital asset should fall under a crypto-specific regime and when it should remain subject to existing financial law. The EU addresses this issue through a more structured legal perimeter, with MiCAR applying only where crypto-assets are not already covered by sectoral EU legislation. The US approach remains more dependent on market-structure legislation and regulatory interpretation, with the GENIUS Act clarifying payment stablecoins but important questions being addressed through initiatives such as the CLARITY Act. The difference is therefore not that the EU has eliminated boundary uncertainty, but that it has embedded it within a more formal legal architecture. For legislators, **the key lesson is that defining regulatory boundaries is not simply a technical exercise. It requires a balance between legal certainty, innovation and supervisory effectiveness**. In the EU context, this also raises **an institutional question: whether supervisory authorities, in particular ESMA, have sufficient capacity and mandate to provide timely guidance on borderline cases**, or whether key interpretative questions will continue to depend primarily on the Commission. This issue is especially relevant where the boundary between MiCAR, MiFID and other sectoral regimes remains difficult to apply in practice. Ultimately, the relationship between digital assets and securities law will continue to evolve as markets develop, and the contrast between MiCAR and the GENIUS Act demonstrates that there is no single model for addressing this challenge, but rather a range of policy choices shaped by institutional context and regulatory priorities.

¹¹ See, for example, the proposed [Digital Asset Market Clarity Act of 2025](#), aimed at clarifying the regulatory treatment of digital assets and the respective roles of the SEC and the CFTC.

¹² See, for example, Financial Stability Board (FSB), [Regulation, Supervision and Oversight of Crypto-Asset Activities and Markets](#), October 2022, which highlight differences in regulatory interpretation and enforcement approaches.

Box 1: Supervisory architecture under MiCAR and the GENIUS Act

Beyond definitions and legal scope, an important difference between the EU and US approaches concerns supervisory organisation. Effective regulation depends not only on legal requirements, but also on how supervisory responsibilities are allocated and coordinated.

In the European Union, **MiCAR establishes a multi-layered supervisory framework combining national implementation with EU-level coordination**. NCAs remain responsible for authorisation and day-to-day supervision, while EU authorities contribute to supervisory convergence. In particular, the **EBA plays a central role in the oversight and coordination of significant stablecoins, while ESMA contributes to the consistent application** of the framework across Member States (MS). This structure supports regulatory consistency within the Single Market, although it also requires significant coordination among authorities.

The United States follows a different institutional model. **The GENIUS Act establishes a supervisory framework for payment stablecoin issuers**, allocating responsibilities to existing federal or state authorities depending on the nature of the issuer. **Rather than creating a fully integrated supervisory structure, the framework builds on existing banking and financial supervision arrangements**. This approach benefits from institutional continuity and established expertise but may also generate differences in interpretation and supervisory practices across authorities.

Both systems seek to address similar risks but through different governance structures. The EU places greater emphasis on supervisory coordination within a harmonised market, whereas the US relies more heavily on existing institutions operating within a multi-agency environment.

Source: EGOV elaboration.

5. AML/CFT and financial integrity

The rapid expansion of digital assets has significantly increased the complexity of anti-money laundering (AML) and counter-terrorist financing (CFT) supervision. **Crypto-assets and stablecoins**, by their nature, **facilitate fast, cross-border transactions and may involve decentralised or partially anonymous systems**. While these features can enhance efficiency and financial inclusion, **they also create new opportunities for illicit activity**. As a result, AML/CFT considerations have become a central component of digital asset regulation in both the European Union and the United States.

In the European Union, the regulation of crypto-assets is closely integrated into a broader and increasingly harmonised AML/CFT framework. MiCAR operates alongside the [EU's 2024 AML package](#), which represents a structural shift from fragmented national implementation towards a unified and directly applicable set of rules. This framework includes the [Anti-Money Laundering Regulation](#)¹³, the [Sixth Anti-Money Laundering Directive](#)¹⁴ and the establishment of the [Anti-Money Laundering Authority](#)¹⁵ (AMLA), creating a multi-layered system designed to ensure consistent supervision and enforcement across MS. Within this architecture, CASPs are treated as obliged entities within the EU AML/CFT framework, subject to the same core obligations as traditional financial institutions. These include customer due diligence, transaction monitoring, record-keeping and the reporting of suspicious activities, and the requirements apply irrespective of the underlying technology, reinforcing the principle that regulatory obligations are linked to activities and risks rather than to specific technological architectures. A key element of this model is the extension of traceability requirements to digital transactions. The revised [Transfer of Funds Regulation](#)¹⁶ (TFR) introduces **obligations to include verified information about both the originator and the beneficiary of transfers involving crypto-assets**, aligning the EU framework with international

¹³ Regulation (EU) 2024/1624 on the prevention of the use of the financial system for the purposes of money laundering or terrorist financing.

¹⁴ Directive (EU) 2024/1640 on the mechanisms to be put in place by Member States for the prevention of the use of the financial system for the purposes of money laundering or terrorist financing.

¹⁵ Regulation (EU) 2024/1620 establishing the Authority for Anti-Money Laundering and Countering the Financing of Terrorism.

¹⁶ Regulation (EU) 2023/1113 on information accompanying transfers of funds and certain crypto-assets.

standards and closing gaps that previously allowed for a higher degree of anonymity. This so-called “travel rule” is particularly important in a transnational context, where the ability to track transactions is essential for effective enforcement. **Consumer protection is also closely linked to these AML measures, as MiCAR imposes transparency and disclosure requirements on issuers and service providers, ensuring that users are informed about the nature and risks of the assets they hold**, and governance requirements and safeguards for client assets further reinforce this protective framework. Together, these elements contribute to a regulatory model that emphasises prevention, standardisation and systemic integrity.

The US approach, as reflected in the GENIUS Act, addresses AML and consumer protection through a different institutional logic, because rather than creating a new, equal framework for digital assets, it **relies on existing legislation and supervisory practices, particularly those derived from the [Bank Secrecy Act \(BSA\)](#) and related regulatory regimes**. Stablecoin issuers are expected to comply with established AML obligations, including know-your-customer (KYC) procedures, monitoring of transactions and reporting of suspicious activities. This approach reflects a compliance-based model, where enforcement plays a central role. US authorities have traditionally relied on strong enforcement actions and interagency cooperation to address financial crime and in the context of digital assets, this has often involved applying existing rules to new activities, rather than developing entirely new frameworks. Consistently, the GENIUS Act contributes to this model by clarifying the regulatory status of payment stablecoins and embedding them more firmly within the existing supervisory system.

While both the EU and the US share the objective of preventing illicit use of digital assets, their methods differ in important ways. **The EU model prioritises integration and ex ante regulation, seeking to ensure that all relevant actors operate under a common set of rules, while the US model, by contrast, emphasises flexibility and enforcement, allowing authorities to adapt existing tools to evolving risks**. These differences have practical implications: **an even framework can enhance consistency and reduce regulatory arbitrage within the EU, but requires significant coordination and institutional capacity, while a compliance-based approach can be more adaptable and responsive, but may result in uneven application and uncertainty**, particularly in areas not explicitly covered by legislation. The challenges posed by digital assets also highlight the importance of international cooperation. As illicit financial flows increasingly exploit technological innovation and cross-border networks, **effective AML/CFT enforcement depends on the ability of jurisdictions to share information and coordinate actions**. In this regard, both the EU and the US play key roles in shaping global standards, particularly through their engagement with international bodies and their influence on market practices. For policymakers, the main challenge is therefore to ensure that digital asset innovation does not weaken financial integrity standards while preserving the capacity of legitimate actors to operate across borders within clear and proportionate rules.

6. Innovation, competitiveness and regulatory signalling

Regulation does not only constrain market activity; it also shapes expectations and sends signals to investors, firms and global markets. In emerging sectors such as digital assets, where business models are still evolving and legal uncertainty can be a significant barrier to entry, **regulatory clarity plays a particularly important role**, because the way in which jurisdictions design their frameworks can influence where firms choose to locate, where capital flows and how innovation develops over time.

In practice, **MiCAR represents a conscious endeavour by the European Union to position itself as a jurisdiction of regulatory predictability and stability**. By providing a harmonised framework for crypto-assets not already covered by existing EU financial legislation, the EU reduces uncertainty for market participants and creates a predictable environment for long-term investment. This is particularly relevant for institutional actors, including financial institutions and large technology firms, which typically require clear legal conditions before entering new markets. **The EU approach can therefore be seen as a form of regulatory signalling: it communicates that digital asset activities are permitted and supported, but within a well-defined and structured framework**. This may enhance the credibility of the EU market and

attract actors seeking stability and access to a large, integrated economic area. **However, the breadth and complexity of the framework may create barriers for smaller firms or early-stage innovators**, which may face higher compliance costs and administrative requirements.

The GENIUS Act seeks to provide greater legal certainty for payment stablecoins without fundamentally restructuring the wider US digital asset regulatory environment. The approach therefore preserves a relatively flexible and market-driven environment, while introducing greater certainty for a strategically important segment of the digital asset market. At the same time, questions concerning the broader classification and supervision of digital assets remain partly unresolved within the wider US regulatory framework.

These choices have implications for global competitiveness, because a highly structured framework may attract actors seeking stability and regulatory clarity, but could be perceived as less agile in responding to rapid technological change, and a more flexible environment may encourage experimentation and early-stage innovation, but could also lead to fragmentation and regulatory risk, particularly for firms operating across jurisdictions. **For legislators, the key issue is not only how to regulate domestic markets, but also how regulatory choices position a jurisdiction in the global landscape.** Digital asset markets are inherently international, and firms often operate across multiple jurisdictions. As a result, differences in regulatory design can influence global market structure, including the location of key infrastructure, the development of standards and the distribution of economic activity. In this context, regulatory design becomes not only a matter of risk management, but also a strategic factor influencing market location, investment decisions and the international competitiveness of financial centres.

Table 2: Strategic implications of MiCAR and the GENIUS Act

Strategic dimension	MiCAR / EU approach	GENIUS Act / US approach
Financial stability	Precautionary approach, with ex ante safeguards and enhanced oversight for significant stablecoins.	Focus on prudential safeguards, reserve quality and redemption capacity for payment stablecoins.
Monetary sovereignty	Seeks to protect the role of the euro and public money, especially in connection with the digital euro debate.	May reinforce the international role of the US dollar through regulated dollar-denominated stablecoins.
Regulatory philosophy	Horizontal and harmonised regulation to reduce fragmentation in the Single Market.	Targeted intervention, addressing specific risks while preserving flexibility.
Role of public authorities	Stronger reliance on public rule-setting, supervisory convergence and EU-level coordination.	Greater reliance on existing institutional structures and regulated private issuers.
Innovation model	Regulatory predictability and institutional trust as conditions for sustainable innovation.	Market-led innovation supported by clearer rules for payment stablecoins.
Global competitiveness	May attract institutional actors seeking predictable rules, but compliance costs may be higher.	May support faster market development, but broader legal uncertainty may remain.
International influence	Potential to export an overarching regulatory model.	Influence amplified by the global role of the dollar and US financial markets.
Main policy risk	Excessive complexity or slow adaptation to technological change.	Regulatory gaps and fragmentation outside the stablecoin perimeter.

Source: EGOV elaboration.

7. Stablecoins, financial stability and cross-border issuance risks

7.1. Stablecoins as a source of financial stability concerns

Among the various categories of digital assets, stablecoins have emerged as the most relevant from a financial stability perspective, as their design, which seeks to maintain a stable value relative to a fiat currency, allows them to function as a bridge between traditional financial systems and blockchain-based markets. As their use expands beyond trading into payments, settlement and DeFi, stablecoins increasingly perform functions comparable to certain monetary instruments, raising concerns that go beyond the crypto-asset sector itself. From a systemic perspective, the key issue is not their current size, but their potential for rapid growth and widespread adoption. **Stablecoins can scale quickly due to their digital nature and global accessibility,** particularly in environments where traditional payment systems are costly or inefficient, **and this creates the possibility that they could become systemically important** in a relatively short period of time, especially if widely used for everyday transactions or as a store of value.

In the European Union, this potential is addressed through a precautionary regulatory approach. In this sense, **MiCAR introduces specific requirements for stablecoins that are considered significant, reflecting concerns about their possible impact on financial stability, monetary policy and the smooth functioning of payment systems.** These requirements include stricter governance standards, enhanced supervision and additional safeguards designed to mitigate risks before they fully materialise. Such an approach is consistent with ample EU policy thinking, where **financial stability is treated as a collective public good that requires proactive intervention.** As noted in [recent European analyses](#), the growing integration of digital assets into financial markets, combined with their transnational dimension, can amplify vulnerabilities and create new channels of contagion. Indeed, the experience of past financial crises has reinforced the importance of addressing systemic risks at an early stage, even when markets are still developing.

The United States adopts a different, though not necessarily less cautious, perspective. **The GENIUS Act addresses systemic risk primarily through the lens of payment stability and prudential regulation, given that by requiring stablecoin issuers to hold high-quality liquid reserves and by limiting issuance to regulated entities, the framework seeks to prevent scenarios similar to bank runs, where a sudden loss of confidence could trigger large-scale redemptions.** This focus reflects the close connection between stablecoins and the traditional banking system in the US context. Stablecoin reserves are typically held in financial institutions or in highly liquid assets, meaning that stress in the stablecoin sector could have spillover effects on broader financial markets. Conversely, instability in the banking system could affect the credibility of stablecoin issuers, being the regulatory objective therefore to ensure that stablecoins do not become a source of systemic fragility.

Despite these differences, both the EU and the US recognise that stablecoins introduce new forms of risk transmission. Unlike traditional financial instruments, they operate continuously, across jurisdictions and often outside conventional market infrastructures, and this can accelerate the spread of shocks and complicate the ability of authorities to intervene effectively. **One of the most frequently discussed risks is the possibility of a “run” on a stablecoin.** If users begin to doubt the quality or availability of reserves, they may try to redeem their holdings simultaneously. In a centralised stablecoin model, this could force the issuer to liquidate assets rapidly, potentially affecting market prices and **creating broader financial instability.** Even in well-designed systems, confidence plays a central role, and reputational shocks can have immediate consequences. **Another important aspect is the interaction between stablecoins and market liquidity, as stablecoins are widely used as a settlement asset in crypto markets**¹⁷, meaning that disruptions in their

¹⁷ See European Central Bank, [From hype to hazard: what stablecoins mean for Europe](#), The ECB Blog, 28 July 2025; and Bank for International Settlements / Financial Stability Institute, [Stablecoin-related yields: some regulatory approaches](#), FSI Brief No 27, 2025, noting the role of stablecoins in trading, settlement and liquidity in crypto markets.

functioning can affect trading activity and price formation. As their role expands, this dependence may extend to other segments of the financial system, particularly if stablecoins are increasingly used in cross-border payments or as collateral. In practice, many stablecoin arrangements illustrate hybrid models, combining decentralised validation mechanisms with highly centralised issuance, reserve management and governance structures. **The integration of stablecoins into DeFi adds further complexity, as in DeFi environments, stablecoins are often used as collateral in lending and derivatives protocols, and this creates interconnected networks of exposures** that can amplify shocks through automated processes, such as liquidations triggered by price movements. In practice, the regulatory implications of DLT depend less on the technology itself than on the governance, scale and interconnectedness of the underlying arrangement. Indeed, **while these mechanisms can increase efficiency, they also introduce new forms of procyclicality and systemic risk.**

For policymakers, the challenge lies in balancing innovation with stability, as stablecoins offer clear benefits in terms of speed, cost and accessibility, but their design and scale can also generate vulnerabilities. The comparison between MiCAR and the GENIUS Act shows that different regulatory traditions lead to different responses to this challenge. The EU emphasises precaution and systemic oversight, while the US focuses on prudential safeguards and integration with existing financial structures. In the end, **the systemic importance of stablecoins will depend on how they evolve in practice. If their use remains concentrated within the crypto ecosystem, risks may be more contained, but if they become widely used in the real economy, their regulation will need to evolve accordingly.** In either case, the current regulatory frameworks represent an initial attempt to address a rapidly changing landscape, where financial stability considerations are likely to play an increasingly central role.

7.2. Stablecoins, monetary sovereignty and public money

The rise of stablecoins has also brought renewed attention to the concept of monetary sovereignty¹⁸. While regulation is often framed in terms of market integrity or consumer protection, **the increasing use of privately issued digital instruments also raises more fundamental questions about the role of public money and the ability of authorities to conduct effective monetary policy. Stablecoins are especially relevant in practice because they are designed to replicate the value of fiat currencies while operating outside the traditional banking system.** In doing so, they create a hybrid form of money: privately issued but anchored to public currency. This dual nature can support innovation in payments and financial services, but it also introduces potential tensions between private market development and public policy objectives.

In the European Union, the issue of [monetary sovereignty](#) is closely linked to the role of the euro and the functioning of the Economic and Monetary Union. **The EU approach to digital assets**, as reflected in MiCAR, is therefore not limited to regulating financial risks, it also **seeks to ensure that the development of new digital instruments does not undermine the central role of public money, particularly central bank money, in the financial system.** This perspective is **reinforced by ongoing discussions on the [digital euro](#)¹⁹.** While MiCAR focuses on regulating private crypto-assets, the [digital euro project](#) represents a public-sector response to similar technological developments. Together, these initiatives signal a broader strategy: to support innovation while maintaining control over key monetary functions. In this context, the regulation of stablecoins can be seen as part of a wider effort to prevent the emergence of potentially parallel monetary arrangements that could weaken policy transmission or fragment the monetary landscape within the Union.

The United States faces a different, though equally strategic, set of considerations. **The global role of the US dollar means that dollar-denominated stablecoins have the potential to extend the reach of US**

¹⁸ See also EGOV, [Digital Assets: EU regulatory framework, market uptake, risks and challenges](#) (November 2025), as well as the background materials prepared for the June 2025 Monetary Dialogue on digital assets, stablecoins and the future role of public money.

¹⁹ For a discussion of the interaction between stablecoins, central bank money and the digital euro, see the references included in EGOV, [Digital Assets: EU regulatory framework, market uptake, risks and challenges](#) (November 2025).

currency beyond traditional channels. In practice, **many stablecoins are already used internationally as a proxy for the dollar**, particularly in jurisdictions with less developed financial systems or limited access to stable currencies. From this perspective, **the regulation of stablecoins is not only about risk mitigation but also about maintaining and potentially reinforcing the international role of the dollar.** By establishing a clearer legal framework for payment stablecoins, the GENIUS Act may support their broader adoption, contributing indirectly to the global presence of dollar-based financial infrastructure. Some commentators have also noted that wider adoption of dollar-denominated stablecoins could increase demand for short-term US government securities, which are commonly used as reserve assets by stablecoin issuers. While the macro-financial implications of such developments remain uncertain and would depend on much larger levels of adoption than currently observed, they illustrate the potential interaction between stablecoin markets and sovereign debt markets. At the same time, this dynamic raises questions about the balance between private and public control: **if privately issued stablecoins become widely used in international transactions, depending on their scale, governance and integration with existing financial systems, they could shape the global monetary system** in ways that are only partially aligned with public policy objectives.

In addition, the cross-border nature of digital assets introduces new challenges for monetary sovereignty, as stablecoins can be issued in one jurisdiction, backed by assets in another and used globally. This reduces the ability of any single authority to exercise full control and increases the **importance of international coordination.** It also raises questions about regulatory spillovers, where decisions taken in one jurisdiction may have unintended effects in others. These dynamics illustrate how stablecoin regulation increasingly intersects with relevant questions concerning currency internationalisation, payment infrastructures and the future role of public money in digital financial systems.

7.3. Multi-issuance stablecoins and cross-border supervisory challenges

A particularly sensitive aspect of the current EU debate concerns third-country multi-issuer stablecoin schemes. In simplified terms, these are arrangements **in which a Union-based issuer cooperates with one or more non-Union issuers to issue stablecoins** that share the same technical characteristics and are presented as interchangeable, while the issuers operate under different legal and supervisory regimes. This model illustrates how stablecoins can expose the limits of domestic regulation when issuance, reserves, redemption claims and token circulation are distributed across jurisdictions. **The legal debate under MiCAR has focused partly on Recital 54, which provides that issuers of ARTs marketed both in the Union and in third countries should ensure that their reserves of assets are available to cover their liability towards EU holders,** and that the requirement to hold reserve assets with firms subject to EU law should apply in proportion to the share of ARTs expected to be marketed in the EU. However, Recital 54 refers specifically to ARTs, not to EMTs, and this distinction is important because MiCAR establishes separate regimes for ARTs and EMTs, with EMTs subject to a right of redemption at par value.

The ECB non-paper²⁰ on EU and third-country stablecoin multi-issuance argues against a permissive interpretation that would extend, by analogy, the logic of Recital 54 to EMTs. According to that analysis, recitals cannot create new legal rights or obligations and the different treatment of ARTs and EMTs in MiCAR suggests that the ART-related logic of Recital 54 should not simply be transposed to EMTs, and this is particularly **relevant because the main third-country multi-issuer schemes currently discussed in the EU context concern EMTs, often denominated in a non-EU currency.** In this respect, the issue is not merely interpretative but legislative: in the absence of explicit MiCAR provisions on third-country multi-issuance of stablecoins, legal uncertainty may remain unless the EU co-legislators clarify whether such schemes are not permitted, or whether they may be permitted subject to specific safeguards.

²⁰ ECB (2025), ECB non-paper on *EU and third-country stablecoin multi-issuance*, published on the Council of the European Union's website at <https://data.consilium.europa.eu/doc/document/WK-4742-2025-COR-1/en/pdf>.

The [European Systemic Risk Board \(ESRB\)](#) has similarly noted that MiCAR regulates intra-Union multi-issuance of interchangeable crypto-assets but does not explicitly address schemes involving a EU issuer and a third-country issuer. It has warned that this may lead to diverging approaches among NCAs, with some authorities considering such schemes permissible and others not, and that this divergence could undermine the uniform application of MiCAR and the functioning of the single market, particularly because authorisation granted in one MS may allow an issuer to operate across the EU through passporting. **From a financial stability perspective, the main concern is that such schemes may create a mismatch between the location of reserves, the legal responsibility of issuers and the redemption expectations of token holders.** If a stablecoin is perceived by users as fully interchangeable across jurisdictions, redemption pressure could fall on the EU issuer even where a significant share of tokens or liabilities originates outside the EU. In a stress scenario, this could expose the EU issuer to liquidity pressure that may not be fully matched by reserves located or supervised within the EU. These risks may be amplified where reserve rebalancing mechanisms depend on transfers from third-country issuers or financial institutions, particularly if third-country authorities restrict the mobility of reserves during periods of stress, recovery or resolution. **The ESRB has indeed identified several related vulnerabilities, including redemption run risks, liquidity mismatches, regulatory arbitrage, insufficient supervisory access to data on reserves and token circulation, and possible contagion channels through EU CASPs and credit institutions.** It has therefore recommended that, in the absence of a specific legal regime, the Commission should not consider third-country multi-issuer stablecoin schemes as permitted within the current MiCAR framework. If such schemes were nevertheless allowed to operate, the ESRB recommends a dedicated framework with safeguards, including an equivalence assessment of third-country regimes, supervisory cooperation agreements, measures addressing barriers to the cross-border mobility of reserves, enhanced prudential requirements and possible inclusion of participation in such schemes as a criterion for classifying ARTs and EMTs as significant. **The ECB non-paper points in a similar direction. It argues that reliance on private contractual rebalancing arrangements would not be sufficient to manage the risks generated by third-country multi-issuance.** If the EU were to permit such schemes, safeguards would need to be established at EU level through legislation rather than through ad hoc supervisory conditions. These safeguards would include a framework to verify the equivalence of third-country stablecoin regulation, reciprocity arrangements for euro-denominated stablecoins, and agreements ensuring that reserve assets can move across jurisdictions under normal conditions as well as in recovery or resolution scenarios.

The GENIUS Act approaches cross-border issuance differently. It does not contain a specific framework equivalent to the EU debate on third-country multi-issuer stablecoin schemes, nor does it expressly regulate the joint issuance of fungible stablecoins by a US issuer and a foreign issuer under different legal regimes. However, it does establish conditions under which foreign payment stablecoin issuers may access the US market. In particular, foreign issuers may offer or sell payment stablecoins in the United States only where the foreign regime is considered comparable, the issuer is registered with the [Office of the Comptroller of the Currency \(OCC\)](#), holds reserves in a US financial institution sufficient to meet the liquidity demands of US customers, and is subject to reporting, supervision, examination and US jurisdiction for enforcement purposes. The GENIUS Act therefore does not appear to authorise multi-issuance in the technical sense currently discussed in the EU, but it does provide a specific gateway for foreign stablecoin issuers under a comparability and supervisory access model.

For EU legislators, the multi-issuance issue is therefore not only a technical question of stablecoin design; it raises broader questions concerning the limits of territorial supervision, the treatment of non-EU currency stablecoins, equivalence with third-country regimes, reserve mobility, redemption rights and the capacity of EU authorities to manage risks generated outside their jurisdiction. It also illustrates a wider lesson of digital asset regulation: **where assets circulate globally but legal responsibilities remain territorially organised, financial stability risks may arise precisely at the points where regulatory frameworks intersect.**

8. Key policy lessons and concluding observations

Several broader policy implications emerge from the comparison between MiCAR and the GENIUS Act.

Beyond the specific design of stablecoin rules, the comparison provides insights into how different jurisdictions are approaching the integration of digital assets into existing legal, supervisory and monetary frameworks. These implications concern regulatory boundaries, supervisory coordination, financial stability, international cooperation and the role of technology-neutral regulation.

First, the scope and definitions are central to any regulatory framework, as the way in which digital assets are defined determines not only what is regulated, but also how risks are identified and managed.

MiCAR's broad and functional approach reduces the likelihood that new products fall outside the regulatory perimeter, but requires ongoing interpretation and supervisory capacity, while the narrower focus of the GENIUS Act provides clarity for specific instruments, particularly payment stablecoins, but may leave gaps as markets evolve. **Legislators therefore face a trade-off between full coverage and targeted intervention, with implications for both legal certainty and regulatory flexibility.**

Second, regarding the organisation of supervision, the EU model, based on harmonised rules and coordinated oversight, aims to ensure consistency across a large integrated market, reflecting the experience of other areas of financial regulation, where fragmentation has often reduced effectiveness. The US model, by contrast, relies on existing institutional structures and allows for greater flexibility, but accepts a degree of fragmentation as part of its design.

The effectiveness of each approach depends not only on the rules themselves, but on the capacity of institutions to implement and enforce them in practice. A further implication concerns the role of supervisors, because as digital asset markets become more complex and interconnected, **effective supervision requires not only clear rules but also strong coordination mechanisms, adequate resources and the capacity to address cross-border risks.** More broadly, differences between supervisory models may have significant implications for regulatory effectiveness.

Third, the growing importance of stablecoins and the challenges associated with their international use appear as focal points for regulation, as their hybrid nature, combining elements of money, payment systems and digital infrastructure, makes them particularly relevant for financial stability, monetary sovereignty and cross-border issuance arrangements.

The debate surrounding multi-issuance schemes demonstrates how risks may emerge at the intersection of different legal and supervisory frameworks, particularly when issuance structures, reserve assets and redemption mechanisms extend across multiple jurisdictions. Both MiCAR and the GENIUS Act recognise this but address the associated risks in different ways: the EU emphasises precaution and systemic oversight, while the US focuses on prudential safeguards and integration with existing financial frameworks. **For legislators, stablecoins illustrate how digital assets can move from a peripheral issue to a central policy concern in a relatively short period of time.**

And finally, the analysis points to the importance of international coordination, as the cross-border nature of digital assets means that no jurisdiction can address all risks in isolation, and differences in regulatory approaches may create opportunities for arbitrage, but also opportunities for learning and convergence over time. Legislators therefore need to consider both domestic objectives and the broader international context when designing regulatory frameworks.

An additional point emerging from recent experience is that technology-neutral regulation remains a robust principle, particularly in a context where technological architectures evolve rapidly while underlying risks remain relatively stable. Rather than focusing on specific technological architectures, regulatory frameworks may be more effective when they address underlying risks, governance structures and accountability mechanisms.

Taken together, these observations suggest that the central challenge of digital asset regulation is no longer whether these technologies should be regulated, but how they can be integrated into existing

legal, supervisory and monetary frameworks while preserving financial stability, market integrity and public trust. The comparison between MiCAR and the GENIUS Act demonstrates that similar policy objectives may be pursued through different institutional and regulatory arrangements. **As digital asset markets become increasingly international, issues such as cross-border supervision, stablecoin governance, monetary sovereignty and the interaction between public and private forms of money are likely to become more important.** In this context, effective regulation will depend not only on the quality of individual rules, but also on the capacity of authorities to cooperate across jurisdictions and adapt existing frameworks to evolving market realities.

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LIST OF ABBREVIATIONS

AML/CFT	Anti-Money Laundering / Countering the Financing of Terrorism
AMLA	Anti-Money Laundering Authority (EU)
ART	Asset-Referenced Token
BSA	Bank Secrecy Act (US)
CASP	Crypto-Asset Service Provider
CFTC	Commodity Futures Trading Commission (US)
DeFi	Decentralised Finance
DLT	Distributed Ledger Technology
EBA	European Banking Authority
ECB	European Central Bank
EMT	E-Money Token
ESMA	European Securities and Markets Authority
ESRB	European Systemic Risk Board
EU	European Union
FSB	Financial Stability Board
GENIUS Act	Guiding and Establishing National Innovation for U.S. Stablecoins Act
KYC	Know Your Customer
MiCAR	Markets in Crypto-Assets Regulation (Regulation (EU) 2023/1114)
MiFID	Markets in Financial Instruments Directive (Directive 2014/65/EU)
MiFIR	Markets in Financial Instruments Regulation (Regulation (EU) 600/2014)
MS	Member State
NCA	National Competent Authority
OCC	Office of the Comptroller of the Currency
SEC	Securities and Exchange Commission (US)
TFR	Transfer of Funds Regulation (EU)